Customer Service and Distribution
Endo Pharmaceuticals Inc

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Source: https://www.industrydocuments.ucsf.edu/docs/rxkn0400

Agenda

- Overview on UPS Supply Chain Solutions
- Customer Service – Overview
- Distribution – Overview
- How does all of this work
- Redacted - Non-Opioid Product and Opana Launch
- Pictures

Source: https://www.industrydocuments.ucsf.edu/docs/rxkn0400

Endo's Customer Service and Distribution

- Endo's uses UPS Supply Chain Solutions (UPS SCS) for all Customer Service and Distribution functions
- Endo began its partnership with UPS SCS with Customer Service in April 1999 and Distribution in April 2000.
- What is UPS Supply Chain Solutions
  - UPS is the world's largest package delivery company and a global leader in supply chain services, offering an extensive range of options for synchronizing the movement of goods, information and funds. Its business unit, UPS Supply Chain Solutions, offers transportation and freight services, logistics and distribution, consulting, and international trade services. What is UPS Supply Chain Solutions

Source: https://www.industrydocuments.ucsf.edu/docs/rxkn0400

Customer Service

- Customer Service is located in Newark DE
- We have 7 Customer Service Reps, 3 Chargebacks Coordinators and 1 Supervisor that are dedicated to the Endo Account
- The Customer Service Reps perform all Customer Service functions for Endo, such as answering phones, order entry, processing returns, processing credits, maintaining the customer master, maintaining DEA license etc.
- The Customer Service Reps answer the phones as Endo Pharmaceuticals. Many of our customers do not realize they are calling UPS
- The Endo team at UPS uses Endo's SAP system to perform all customer service activities

Source: https://www.industrydocuments.ucsf.edu/docs/rxkn0400

Customer Service Facts

- 800 number 800-462-ENDO (3636)
- When a customer calls the 800 number, they will receive a live voice and if customer service can not help the customer, they will transferred the call to another group, such as PPD for medical information.
- From January – May 2006 we answered 9,796 phone calls.
- 58 phones calls were abandoned -.6%
- 19 phone calls went to voice mail
- Average rate of answer is .07 seconds
- Ave duration of the phones call is 3 minutes and 28 seconds

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Customer Service Facts

- In 2005 Customer Service processed
  - 41,775 order entry lines
  - 1,834,454 Chargeback lines
  - 139,940 Return lines

- From January – May Customer Service has processed:
  - 11,313 order entry lines (credits, debits, free of charge orders, orders)
  - 836,462 Chargeback lines
  - 62,639 Returns Lines

Source: https://www.industrydocuments.ucsf.edu/docs/rxkn0400

Distribution

- Warehouse is located in Memphis TN
- We have 12 warehouse associates and 1 supervisor dedicated to Endo
- All distribution activities such as picking, packing, shipping, inventory adjustments, and the processing of returns is performed by UPS in UPS's warehouse system
- There are 2 warehouse associates that enter CII orders into Endo's SAP system
- The warehouse in Memphis is divided into 5 sectors, each sector is 40,000 sq. ft.
- The Endo's products are currently in 2 sectors.
- We have 5975 pallet positions
  - 1548 in the vault
  - 370 in the cage
  - 4057 in the ambient section

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Distribution

- Finished goods are shipped from our contract manufactures to Memphis.
- The Distribution Center receives on average about ____ lots per month
  - 20 Lots of Redacted - Non-Opioid Product – Each lot of Redacted - Non-Opioid Product has approx 52 pallets
  - ____ Lots from Novartis
  - ___Lots from DSM
  - 1 Lot from PDSM (Redacted - Non-Opioid Product)

- There are 2 Endo Quality Associates that work at the distribution center and they perform Quality inspections on all incoming product.
- Product is not available for shipments until product is released by Endo QA.

Source: https://www.industrydocuments.ucsf.edu/docs/rxkn0400 ENDO-OPIOID_MDL-04177476_0008

Distribution Facts

- In 2005, the distribution team shipped
  - 10,341 CII orders
    - 49,284 CII lines
  - 3,195 CIII orders
    - 5,007 CII lines
  - 31,210 Ambient Orders
    - 45,207 Ambient Lines
- From January – May the distribution team shipped
  - 3,929 CII Orders
    - 18,863 CII lines
  - 981 CIII orders
    - 1,698 CIII lines
  - 4751 Ambient Orders
    - 9,584 Ambient Lines

Source: https://www.industrydocuments.ucsf.edu/docs/rxkn0400

Distribution Facts

- 2005 Unit shipped: 11,336,271
  - Redacted - Non-Opioid Product
  - Endocet 2,532,882
  - Oxycodone 1,318,044
  - Redacted - Non-Opioid Product
  - Percocet – 908,307
  - Redacted - Non-Opioid Product
- January – May 2006: 4,946,387
  - Redacted - Non-Opioid Product
  - Endocet 1,301,508
  - Oxycodone 428,898
  - Redacted - Non-Opioid Product
  - Percocet 345,621
  - Redacted - Non-Opioid Product

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How does this work

- We have an interface that runs between SAP and UPS's LMS System.
- Orders are processed within SAP. Before any order is sent through the interface

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